

A Model Negotiating Framework for Data Center Host Communities

Data centers are arriving in communities across the country, often faster than local governments can evaluate them. This framework is written for any county, town, or city facing that moment. Its argument is simple: write your terms before the developer arrives, not after the proposal is on the table.

This is not an argument against data centers. It is an argument for negotiating from a published framework instead of improvising under deadline.

The lesson of the last bad deal

Every region has a version of this story. A transformative project - a semiconductor megafab, a stadium, a distribution hub - gets negotiated largely behind closed doors, and the community learns the terms late in the process. Whatever one thinks of the outcome, the process teaches something durable: when a project arrives without pre-committed public terms, the public negotiates from weakness.

Data centers are the next test of that lesson, and the same playbook will be used unless local governments write their terms first. The goal is not to relitigate the last deal. It is to make sure the next negotiation starts from a stronger position.

Why data centers are a special case

A data center is not a factory, and standard economic-development math does not apply to it. Consider a 500-megawatt proposal in upstate New York: roughly 125 permanent jobs projected, alongside requested sales- and mortgage-tax exemptions of about \$1.46 billion, per the county economic development agency's March 2026 cost-benefit analysis (about \$1.43 billion in sales-tax exemptions, split about evenly between local and state, plus about \$31 million in mortgage-tax exemptions), with a 30-year PILOT package worth about \$285 million, or roughly \$9.5 million a year. That is the economics of the industry: enormous power and water demand, very few jobs, and large requests for public subsidy. The public contribution has to be measured against power draw and infrastructure burden, not headcount.

Some states have begun to recognize this. In September 2026, New York released a Host Community Investment Framework recommending that local governments seek at least \$1 million in community investment per megawatt of utility demand - the first state-level per-MW benchmark. It is a recommendation, not a mandate, and a flexible one: the timing and structure of contributions are negotiated locally, so it is not necessarily a recurring annual payment or cash to the host community. The actual number gets set at the negotiating table. Elsewhere, the range of outcomes is wide: a parish in Louisiana projects roughly \$273,000 per megawatt of contracted utility demand per year in PILOT revenue under an industrial-development-board lease structure, while in DeForest, Wisconsin, a data center deal collapsed after secret negotiations became public, and the exposed terms remain the clearest public model of what a strong community agreement looks like. Where a community lands in that range depends on whether its terms were written before the developer arrived.

A framework for host communities

Before any proposal arrives, the county or municipality should publish a negotiating framework built on these principles:

One principle underlies all ten: costs the project causes are not community benefits. Impact mitigation (grid, roads, water, wastewater, fire and EMS, noise, environmental cleanup, decommissioning) merely keeps the public from losing money and buys the developer nothing extra. Community value (taxes and PILOT revenue, recurring host payments, community investment, housing, schools, child care, workforce investment, residential energy relief) is what the public gains for the use of its scarce land, power, water, and infrastructure. A strong deal requires both.

1. The developer pays for incremental grid infrastructure. The cost of new substations, transmission upgrades, and distribution work attributable to the project belongs in the development agreement, not in the rate base. The agreement should also define the utility's right to curtail project load during grid emergencies.

2. Protect existing ratepayers from cost shifting. Residential and small-business customers should not see higher electric bills because a hyperscale facility is located nearby. Any agreement should include explicit ratepayer-protection terms reviewed with the utility.

3. Assign water and wastewater costs contractually. Data centers use significant water for cooling. Infrastructure costs for supply, treatment, and discharge should be assigned to the project in writing, with the local water utility and wastewater authority at the table. Treated potable water should be off-limits for cooling above a defined large-user threshold.

4. Tie tax abatements and incentives to measurable public benefits. Any property-tax abatement or incentive (PILOT, tax increment financing, or your state's equivalent) should be disclosed as a dollar figure per megawatt, benchmarked against a per-MW standard such as New York's \$1 million framework, and conditioned on verified commitments.

5. Index community-benefit payments to project scale. Host payments should scale with power demand and facility size, not be set as flat fees that erode as projects expand.

6. Require minimum transparency. Public reporting on actual power use, water use, and compliance with agreement terms, on a fixed schedule, for the life of the project, plus a cumulative air-quality impact assessment. Technical review should be developer-funded but independent, so the community is not relying on the developer's experts.

7. Include clawbacks for unmet commitments. If job, investment, or payment commitments are not met, subsidies and benefits should be recoverable under clear, pre-agreed triggers. Agreements should also require a minimum operating duration, with exit fees for early closure.

8. Negotiate from a common regional framework. Neighboring municipalities should not be played against one another for the same project. A shared regional framework for land use, infrastructure, and community benefits keeps towns from undercutting each other.

9. Require labor standards. Local-hire targets, prevailing wage, and apprenticeship requirements for construction and permanent operations, with payroll verification.

10. Steer projects to appropriate sites. Prefer brownfields and previously developed land over prime farmland and sensitive habitat, with setbacks from homes and water resources defined up front.

How to use this document

Adapt the details to your state and locality: the names of your water and wastewater authorities, your state's incentive mechanisms, and any state-level per-MW benchmark. Publish the adapted framework as a resolution or policy statement before any developer files a proposal.

The window is now

Once proposals arrive, leverage shifts to the developer. Publishing the terms first is the cheapest leverage a community ever gets, and it costs nothing to write them down before anyone has to use them.